

S&P Global Flash Germany PMI[®]

Manufacturing sector continues to drive growth in German business activity in August

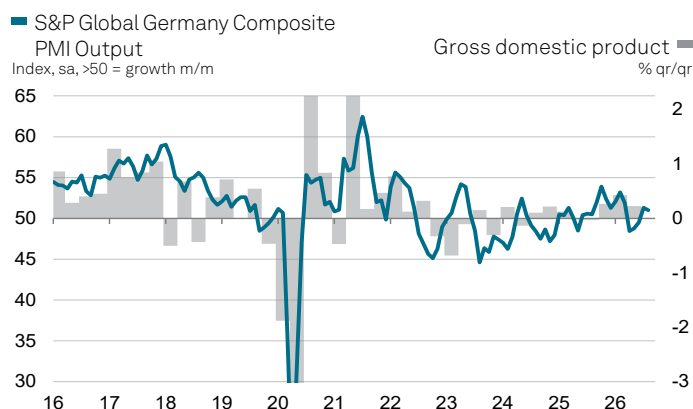
August 2026

Flash Germany PMI Composite Output Index: 51.0 (Jul: 51.3). 2-month low.

Flash Germany Services PMI Business Activity Index: 48.5 (Jul: 49.8). 3-month low.

Flash Germany Manufacturing Output Index: 56.7 (Jul: 54.7). 55-month high.

Flash Germany Manufacturing PMI: 54.1 (Jul: 52.2). 51-month high.



Data were collected 10-19 August 2026.

Sources: S&P Global PMI, Destatis via S&P Global Market Intelligence. © 2026 S&P Global

Germany saw further modest growth of business activity in August, as a continued upturn in production in the country's manufacturing sector offset another subdued performance across its services economy, the latest 'flash' S&P Global PMI[®] survey showed. Labour market conditions meanwhile showed signs of stabilising, with employment holding steady following more than two years of job losses. Underlying demand conditions improved for a second straight month, which coincided with a sustained rebound in business expectations.

On the price front, average charges for goods and services rose at the softest pace for five months at the midway point in the third quarter, amid a slight slowdown in the rate of input cost inflation faced by businesses.

The S&P Global Flash Germany Composite PMI Output Index registered 51.0 in August, down slightly from 51.3 in July and signalling another modest rise in overall business activity across the eurozone's largest economy. Growth was driven by a steep and accelerated rise in manufacturing production, which recorded its strongest expansion in over four-and-a-half years (index at 56.7). Services activity, on the other hand, remained subdued, showing a fifth straight monthly decline that was modest but nevertheless the fastest since May (index at 48.5).

The goods-producing sector also led a further rise in new business in August, although here there was also a marginal positive contribution from the service sector. Manufacturers recorded the greatest increases in both total new orders and export sales since February 2022, with anecdotal evidence showing support to demand from stockbuilding, increased defence spending and data centre build-outs.

Although backlogs of work continued falling during August,

Comment

Phil Smith, Economics Associate Director at S&P Global Market Intelligence:

"The recovery in the manufacturing sector has regained momentum, after it showed signs of stalling in the second quarter. Output, new orders and export sales have all risen at their quickest rates since early-2022, which likely reflects some catch-up from the more subdued picture we saw a few months back at the peak of the uncertainty and spike in oil prices associated with the Middle East war, as well as the influence of increased defence spending filtering through. It still remains to be seen if this pace of growth can be sustained, not least in light of ongoing supply risks, but a notable strengthening of manufacturers' sentiment towards future output suggests that the upturn has legs.

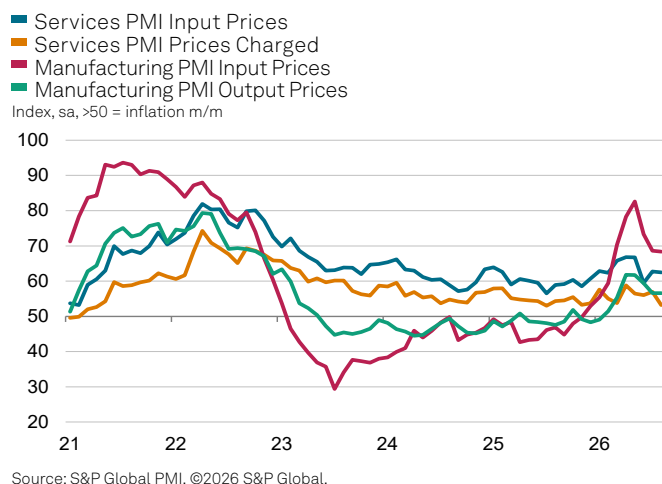
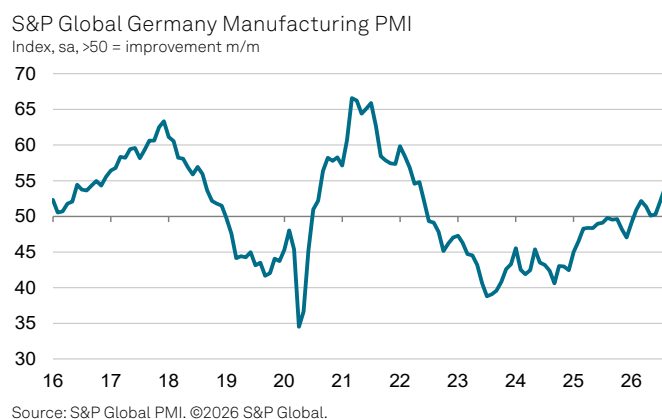
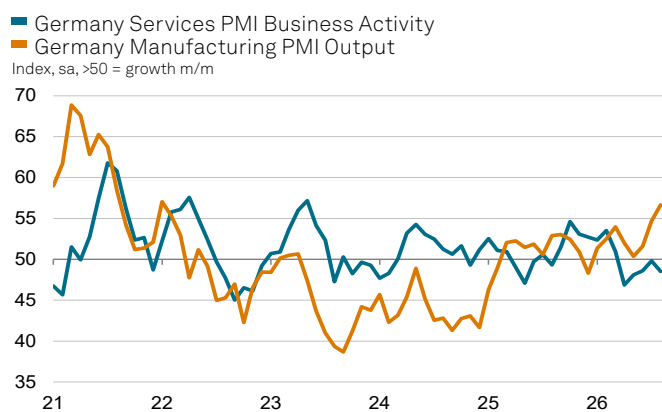
"Although the service sector continues to act as a drag on growth, a second successive slight uptick in new business and a renewed rise in employment in the sector suggest that things could start to get better soon on the activity front. A slower rate of services output price inflation also bodes well for demand in the coming months."

in a sign of underutilised capacity, they did so at the slowest rate in the current six-month sequence of depletion. A renewed increase in manufacturing outstanding business was seen alongside a slower decline in work-in-hand at services firms.

There were tentative signs of a stabilisation in the German labour market in August. After falling for 26 months in a row, employment held steady as a first – albeit modest – rise in service sector staffing levels in eight months coincided with a slowdown in the pace of factory job cuts to the weakest in over a year.

These improved trends in labour market conditions were seen against a backdrop of increased optimism towards growth prospects in the coming year. Business expectations rose to their highest since just before the outbreak of the Middle East conflict in February, and in doing so moved slightly above the series long-run average. Sentiment improved markedly in manufacturing, closing the gap on that seen in the service sector where confidence was unchanged from the month before.

Whilst cost pressures remained elevated by historical standards in August, there were slight moderations in the rates of increase in input prices across both monitored sectors. Output price inflation meanwhile posted a more notable slowdown, dropping to its lowest since March due to slower increases in charges set by service providers.



Contact

Phil Smith
Economics Associate Director
S&P Global Market Intelligence
T: +44-1491-461-009
phil.smith@spglobal.com

Hannah Brook
EMEA Corporate Communications
S&P Global Market Intelligence
T: +44-7483-439-812
hannah.brook@spglobal.com
press.mi@spglobal.com

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Methodology

Final August data are published on 1 September for manufacturing and 3 September for services and composite indicators.

The S&P Global Flash Germany Composite PMI® is compiled by S&P Global from responses to questionnaires sent to survey panels of around 400 manufacturers and 400 service providers. The panels are each stratified by detailed sector and company workforce size, based on contributions to GDP. The services sector is defined as consumer (excluding retail), transport, information, communication, finance, insurance, real estate and business services.

Survey responses are collected in the second half of each month and indicate the direction of change compared to the previous month. The following variables are monitored:

Manufacturing: Output, new orders, new export orders, backlogs of work, stocks of finished goods, employment, quantity of purchases, suppliers' delivery times, stocks of purchases, input prices, output prices, future output.

Services: Business activity, new business, new export business, outstanding business, employment, input prices, prices charged, future activity.

A diffusion index is calculated for each manufacturing and services variable. The index is the sum of the percentage of 'higher' responses and half the percentage of 'unchanged' responses. The indices vary between 0 and 100, with a reading above 50 indicating an overall increase compared to the previous month, and below 50 an overall decrease. The indices are then seasonally adjusted.

Composite indices for are calculated by weighting together comparable manufacturing and services indices using official manufacturing and services annual value added.

The headline figure is the Composite Output Index. This is a weighted average of the Manufacturing Output Index and the Services Business Activity Index. It may be referred to as the 'Composite PMI' but is not comparable with the headline Manufacturing PMI, which is a weighted average of five manufacturing indices (including the Manufacturing Output Index).

The headline manufacturing figure is the Manufacturing Purchasing Managers' Index™ (PMI®). The PMI is a weighted average of the following five indices: New Orders (30%), Output (25%), Employment (20%), Suppliers' Delivery Times (15%) and Stocks of Purchases (10%). For the PMI calculation the Suppliers' Delivery Times Index is inverted so that it moves in a comparable direction to the other indices.

The headline services figure is the Services Business Activity Index. This is a diffusion index calculated from a single question that asks for changes in the volume of business activity compared with one month previously. The Business Activity Index is comparable to the Manufacturing Output Index. It may be referred to as the 'Services PMI' but is not comparable with the headline Manufacturing PMI.

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Flash data are calculated from around 80-90% of total responses and are intended to provide an accurate early indication of the final data. Since flash data were first processed, the average differences between final and flash index values for the headline indices are:

Composite Output Index = 0.0 (absolute difference 0.4)

Services Business Activity Index = -0.1 (absolute difference 0.6)

Manufacturing PMI = 0.0 (absolute difference 0.3)

S&P Global do not revise underlying survey data after first publication, but seasonal adjustment factors may be revised from time to time as appropriate which will affect the seasonally adjusted data series. Historical data relating to the underlying (unadjusted) numbers, first published seasonally adjusted series and subsequently revised data are available to subscribers from S&P Global.

For further information on the PMI survey methodology, please contact economics@spglobal.com.

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